9266569 Canada Inc.
La Cité Gatineau
Gatineau, Quebec, Canada

April [__], 2026

Ms. Tannaz Nazif
Deputy General Manager
Öztürk Holding
[Address]

Re: La Cité Gatineau — Phase II Joint Venture Proposal
Ref: OZHIPRIVATE/07042026-01/03, 02/03, 03A/03

Dear Ms. Nazif,

Thank you for the documentation your team prepared in response to our investment application for Phase II of La Cité Gatineau. We have reviewed all three proposals — the Project Investment Partnership, the EPC model, and the EPC plus Financing model — along with the Roadmap, the Confidentiality Agreement, and the Joint Venture Investment Agreement framework.

We are interested in working with Öztürk Holding. La Cité Gatineau is a flagship project in Canada's National Capital Region, and a well-structured joint venture could benefit both parties. That said, our review of the proposals has identified provisions that do not align with the Canadian regulatory and commercial environment in which this project operates. These would need to be resolved before we can move forward.

We are sharing our position openly so that both sides can determine whether there is a basis for negotiation.

What We Accept

The principle of a 50/50 partnership with shared profit distribution, as set out in Article 12 of the Joint Venture Investment Agreement, is a reasonable foundation. The procedural framework in Proposal 1 is a workable starting point, and the warranty and supervision commitments in the EPC proposals have value. We are

also prepared to work within a mutual confidentiality framework, subject to the changes described below.

What Must Change

The following provisions, as drafted, are incompatible with Canadian law, CMHC financing requirements, or the commercial realities of this project. These are not preferences — they are structural problems that must be resolved.

Stablecoin, cryptocurrency requirements, and advance fee payment (Roadmap, Articles 1.1–1.2; Proposal 1, Section 5.3.1): Canadian anti-money laundering rules under FINTRAC, combined with CMHC lending conditions, make cryptocurrency deposits unworkable for this project. All transactions must go through regulated Canadian banking channels in Canadian dollars. Beyond the regulatory issue, the requirement to pay a fee in advance — before any work has been done or any value delivered — is something we will not accept. Advance fee payments to a prospective partner are not how business is done in Canada, and the inclusion of this requirement raises serious questions about the structure being proposed.

Non-compete clause (Confidentiality Agreement, Article 5): A 10-year restriction covering 193 countries is not enforceable under Canadian law and no serious party would agree to it. We would consider a non-compete limited to this specific project, within the National Capital Region, for the life of the joint venture plus two years.

Jurisdiction and governing law (Confidentiality Agreement, Article 10; JV Agreement, Article 11): The investment is located in Gatineau, Quebec. All agreements must be governed by the laws of the Province of Quebec, and all disputes resolved in Quebec courts or through Canadian arbitration under ADRIC rules seated in Quebec. This is not negotiable.

Share pledge and power of attorney (Proposal 1, Sections 5.2.2, 5.4.1–5.4.2): Pledging our equity as security for what is structured as a loan, combined with granting power of attorney to Öztürk-designated individuals over bank accounts and corporate decisions, would hand over control of the project. These provisions must be removed entirely.

EUR-denominated financing (Proposal 1, Section II): This project earns revenue in Canadian dollars. Taking on debt in euros creates a currency risk that has no upside for us, especially when CMHC-backed financing is available at lower rates in our own currency.

Consultant fee (JV Agreement, Article 5): A 1% fee payable to unnamed consultants is not acceptable without full disclosure — who is being paid, for what services, and on what basis. If this fee survives negotiation at all, it should be reduced, tied to closing, and treated as a shared joint venture cost.

What We Are Prepared to Do

As we reviewed the proposals internally, a consideration emerged that was not part of our original application but has become central to how we think about this partnership.

La Cité Gatineau Phase I is a 205-unit, 19-floor residential tower, 97% occupied, producing stable cash flow under an $86 million CMHC loan in good standing. Phase I and Phase II were designed to be physically connected by underground tunnel — vehicle and pedestrian access between the two buildings, so that residents can move between them without going outside during Canadian winters. That physical connection means that any partner involved in Phase II should, as a practical matter, also have a relationship with Phase I. This is a consideration we believe strengthens the opportunity for both sides.

We therefore propose the following structure:

1. Phase I — Share Acquisition. Öztürk Holding acquires 50% of the shares of 9266569 Canada Inc. at a valuation of $145 million CAD. This is a share transfer. The property itself does not change hands — it is the ownership of the corporation that is transferred. This distinction matters because a share transfer avoids Quebec municipal transfer tax (droits de mutation), which on a transaction of this size would exceed $4 million. It also avoids triggering GST and QST on the sale of real property, which could otherwise amount to approximately $21 million. The existing CMHC mortgage remains in place with no prepayment penalty, no refinancing, and no new underwriting. All tenant agreements, service contracts, and the CMHC relationship continue undisturbed. A share transfer is the most tax-efficient and least disruptive path to partnership — and it saves both parties tens of millions of dollars in costs that would be unavoidable in an asset sale.

2. Phase II — Co-Development. The partners contribute equity on agreed terms and finance the balance through CMHC Select, which offers rates approximately 1% below market with extended amortization. Canadian contractors are selected through competitive bidding managed by a joint venture board with equal representation.

ADVISOR NOTE FOR DR. DORMANI — NOT FOR INCLUSION IN FINAL LETTER

The paragraph above is my recommended version. Joint contractor selection through a shared board is the stronger negotiating position because it signals confidence and fairness — it tells OZH that you are not trying to control the money, which removes one of their potential objections. It also protects you: if OZH has a financial interest in a particular contractor, a competitive bidding process managed by a joint board makes that harder to hide.

However, I understand your preference to retain full control over contractor selection, project management, and the construction process. If that is your firm position, the following alternate paragraph should replace the one above:

ALTERNATE VERSION: *"The partners contribute equity on agreed terms and finance the balance through CMHC Select, which offers rates approximately 1% below market with extended amortization. 9266569 Canada Inc. retains full authority over contractor selection, construction management, and project delivery. This reflects the fact that our team has direct experience building and operating La Cité Phase I, an established relationship with local contractors and municipal authorities, and knowledge of the site conditions, regulatory environment, and construction standards specific to this market. OZH will receive regular progress reporting and financial transparency throughout the construction phase."*

Both versions are defensible. The first gives you more leverage in negotiation. The second gives you more control in execution. Your call.

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3. Canadian Governance. All agreements governed by the laws of the Province of Quebec, Canada — the jurisdiction where the investment is located. Equal board representation with mutual veto rights on material decisions. A standard Canadian joint venture agreement drafted by our legal counsel for joint review.

4. All Transactions in Canadian Dollars. No cryptocurrency. No EUR-denominated instruments. Canadian banking channels exclusively.

This gives Öztürk Holding a stake in a performing asset today, a development opportunity in a proven market, and a governance structure that meets Canadian institutional standards. It also creates a foundation for future projects together.

Confidentiality

The materials exchanged between our organizations — including this letter — are commercially sensitive. We treat them as confidential and expect the same. We are

prepared to sign a mutual confidentiality agreement with reciprocal obligations and a five-year sunset following termination of the relationship.

Next Steps

We are prepared to negotiate on the basis set out above. We would welcome a meeting with your team — in person or by video conference — to discuss these terms and determine whether we can reach an agreement.

We look forward to hearing from you.

Respectfully,

Dr. Nader Agharazi-Dormani
President
9266569 Canada Inc.
La Cité Gatineau

Drafted by Joseph Soares, IBPROM Corp, for review and approval by Dr. Dormani.

This document does not constitute a binding offer or legal commitment.

IBPROM Corp

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April 9, 2026

Dr. Nader Agharazi-Dormani

9266569 Canada Inc.

La Cité Gatineau

Gatineau, Quebec

Re: **Preliminary Assessment — Öztürk Holding Joint Venture Proposal, La Cité Gatineau Phase II**

Dear Dr. Dormani,

Please find attached my preliminary assessment of the documentation package received from Öztürk Holding regarding the proposed Phase II joint venture at La

Cité Gatineau. This assessment covers a review of all eight documents provided, an article-by-article analysis of every material provision, and a recommended counter-position based on your stated objectives and the realities of the Canadian market.

In summary: the three proposals submitted by ÖZH do not reflect the 50/50 equity partnership you are seeking. However, several elements are negotiable, and there is a path forward if ÖZH is prepared to engage on your terms. The assessment identifies eight critical provisions that must be rejected or fundamentally renegotiated, and seven additional provisions requiring modification. It also outlines a counter-proposal structure that aligns with your preferred transaction: a Phase 1 share sale followed by co-development of Phase 2 under CMHC-backed financing with Canadian contractors of your choosing.

This preliminary assessment is exactly that — preliminary. It represents my first-pass review, informed by our discussion on April 9 and a careful reading of the documents. It does not constitute legal advice. Before any counter-proposal is submitted or any agreement is signed, I strongly recommend formal legal review by qualified counsel.

Proposed Next Steps

Should you wish to proceed, I am prepared to undertake the following on your behalf:

1. Comprehensive Document Review with Legal Counsel. I would work alongside your legal team to conduct a deeper analysis of the ÖZH documents, draft specific redline amendments, and prepare a formal counter-proposal for your review and approval. This would include restructuring the confidentiality agreement, eliminating the problematic provisions identified in the assessment, and drafting terms that reflect your preferred transaction structure.

2. Due Diligence — Öztürk Holding and Associated Parties. A thorough background investigation of ÖZH, its principals, and all associated parties — including Global Affairs Canada validation, sanctions screening (Canadian, OFAC, EU), RCMP Financial Crimes consultation, audited financial verification, and confirmation of intermediary relationships. In-person verification in Spain and Turkey is available at your discretion.

3. Counter-Proposal Drafting. Based on the assessment findings and your direction, I would prepare a formal written response to ÖZH that communicates your position clearly: what you are prepared to accept, what must change, and the structure under which you are prepared to proceed. This document would be designed for presentation to ÖZH's representatives and would reflect the professionalism and institutional credibility that a transaction of this magnitude requires.

4. Investor Outreach Strategy. In parallel, and at your discretion, I can develop and execute a targeted outreach strategy to identify alternative equity partners — institutional investors, sovereign funds, and qualified private investors who may be better aligned with your preferred deal structure. This ensures you are negotiating from a position of choice, not dependence on a single counterparty.

I am available to discuss this assessment and the proposed next steps at your earliest convenience. The documents have a 10-day validity window from April 7, which means a response to ÖZH, even if only to acknowledge receipt and indicate that a formal counter-proposal is forthcoming, should be considered promptly.

It has been a privilege to review this opportunity for you, Nader. The project is exceptional, and your negotiating position is stronger than these documents suggest. I look forward to helping you make the most of it.

Respectfully,

Joseph Soares
MBA, PMP, Adm.A.
Managing Partner, IBPROM Corp

Encl: *Preliminary Assessment (attached)*

IBPROM

C O N F I D E N T I A L

PRELIMINARY ASSESSMENT

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La Cité Gatineau — Phase II Development

Öztürk Holding Joint Venture Proposal

Prepared for Dr. Nader Agharazi-Dormani

9266569 Canada Inc.

Joseph Soares, MBA, PMP, Adm.A.
IBPROM Corp

April 9, 2026

1. Executive Summary

This assessment presents my preliminary review of the documentation package received from Öztürk Holding in response to the investment application your team submitted for Phase II of La Cité Gatineau. I have reviewed eight documents in total, analyzed every material provision, and cross-referenced the proposals against the transaction structure you described to me during our meeting on April 9.

The short version: none of what the Turks have put on the table matches what you are looking for. You asked for a 50/50 equity partner. What they have offered, across three different proposals, is some variation of a lender, a contractor, or a financier — with conditions attached that would hand them significant control over your project while you carry the risk. That is not a partnership.

That said, they have indicated flexibility, and there is enough structure here to work with if you choose to engage further — on your terms, not theirs.

I have identified eight provisions I consider critical — meaning they must be rejected or fundamentally renegotiated before any agreement is signed. Another seven require material modification. The rest is either standard or workable with minor adjustments. Every finding in this document cites the specific document and article number so your legal counsel can verify independently.

Where I reference information from our meeting on April 9, I have marked it clearly so there is no confusion between what the documents say and what you told me in conversation.

2. Document Inventory

Eight documents make up the package. The first three were prepared by your team and sent to ÖZH as part of the application. The remaining five came from ÖZH in response. I have listed them in the order that makes the most sense for review — your team's submissions first, then ÖZH's documents in ascending order of complexity.

#	Document	Pages	Description
1	**Investment & JV Funding Application Form**	6	ÖZH provided this form as a template. Your team completed it and returned it. It requests $20M CAD in equity, proposes a JV structure with 50/50 ownership, and identifies Nader Agharazi-Dormani and Mehdi Michael Razi as the beneficial owners of 9266569 Canada Inc. Signed by the president on March 26, 2026.
2	**Feasibility Study — Phase II**	7	Prepared by Alex Vachon and your team. Sent to ÖZH as supporting documentation. Projects 305 units, $132.7M total cost, $6.67M stabilized NOI, and a 1.11x debt service coverage ratio. This is your team's work, not the Turks'.
3	**Financial Summary (financials.pdf)**	1	Also prepared by your team. One-page model showing 305 units, $131.2M construction cost, 4% interest rate, and a 1.44x DSCR. Some figures have scan artifacts. Note: the DSCR here (1.44x) differs from the Feasibility Study (1.11x) — this discrepancy should be reconciled before sending anything further.
4	**Handbook & Request Form**	10	ÖZH's institutional investment handbook. Describes their internal evaluation pipeline: intake, due diligence, credit committee, board approval. Contains a blank due diligence form for future use. The handbook itself is informational — no binding provisions.
5	**Roadmap (with Confidentiality & JV Agreements)**	9	The most consequential document in the package. Contains three embedded agreements: (a) a procedural roadmap with the stablecoin/crypto requirement, (b) a confidentiality agreement with a 10-year global non-compete and London arbitration, and (c) a joint venture investment agreement framework with a 1% consultant fee and 27 required annexes. Start here.
6	**Proposal 1 — PIP Model**	5	ÖZH's first proposal. Structured as a loan, not equity: €20M at EURIBOR+4.50% (6.75%), with repayment models over 5, 10, or 15 years. Includes a share pledge on your equity, power of attorney to ÖZH nominees, and the stablecoin deposit requirement. This is the heaviest of the three proposals.
7	**Proposal 2 — EPC Model**	2	ÖZH as turnkey contractor. No investment or partnership. Requires 10–30% advance payment, delivers in 30 months, includes 2-year warranty. The simplest proposal but does not address your need for a JV partner.
8	**Proposal 3A — EPC + Financing Model**	4	You provide 20–40% equity, ÖZH arranges financing and builds. Article 2 states explicitly that ÖZH "will not be involved as an equity partner." They control all financing disbursements. This is a contractor-financier arrangement, not a joint venture.

Note: Documents 1–3 are your team's own work and should not be renegotiated with ÖZH. The counter-position applies to Documents 4–8 only. I recommend assembling a physical

binder with tabbed dividers corresponding to the numbers above so that all parties can reference specific documents during negotiation.

3. Meeting Summary

[Based on in-person meeting with Dr. Dormani and Alexandre Vachon at La Cité Gatineau, April 9, 2026]

The following reflects what you told me during our meeting. I am recording it here so that the counter-proposal is grounded in your actual objectives, not assumptions.

Your Preferred Deal Structure

You want ÖZH to come in as a 50/50 partner on Phase 1 by purchasing shares in 9266569 Canada Inc. — not through an asset sale, but a share transfer. This lets you recover a meaningful portion of the $50M+ you have invested in Phase 1 without triggering property transfer tax or disrupting the existing corporate structure, tax accounts, or CMHC relationship. Phase 2 would then be co-developed through the same entity, with the benefit of an established track record.

Phase 1 Performance

The building is running at 97% residential occupancy. You carry an $86M CMHC loan on it, performing well. Your asking price for a 50% interest is based on a $145M valuation, which puts the cap rate at roughly 4.4–4.5%. You mentioned a recent comparable — a 30-year-old building in Laval that sold at 4.5% cap for $90M. Your building is newer, better located, and fully stabilized. The math supports your valuation.

Phase 2 Details

305 residential units, 25 stories, plus a spa. You have deliberately reduced the unit count from the original 350 to accommodate the spa and improve the product. Target rents: studio at $1,220, one-bedroom at $1,850, two-bedroom at $2,800, three-bedroom at $3,600. You pointed out that these rents sit roughly $1,000 below what the competition is getting on two-bedrooms. That is a deliberate competitive advantage — it drives occupancy and gives you escalation room.

Construction and Financing

You intend to select your own contractors from relationships you have built over years: BBL Construction, Pomerleau, and a third candidate. The model is turnkey with independent verification by Turner & Townsend, who issue monthly cost certifications to the bank. For debt, you plan to use CMHC Select financing — approximately 1% below market, with long-term amortization. You told me four banks are already competing for the mandate, and given Phase 1’s track record, you do not anticipate difficulty with CMHC approval.

Land and Equity

The Phase 2 land is valued at $15M, with a certified appraisal on hand. Your equity contribution would be $15M (land) plus $5M cash. You also mentioned two land deals in advanced stages — Group Maurice and a Montreal-based contractor — that, if they close, would clear your existing mortgage and potentially eliminate the need for any external equity at all. That is a strong fallback position.

Your Initial Reaction to the ÖZH Documents

When we looked through the documents together, you immediately flagged the cryptocurrency requirement and the upfront fee structure as problems. Your view, which I share: there is no reason to involve stablecoins or cold wallets in a Canadian real estate transaction backed by CMHC financing. The banks are already lining up. You directed me to identify everything in these documents that does not fit Canadian practice and to prepare a clear picture of what is workable and what is not.

4. Provision-by-Provision Analysis

What follows is my review of each ÖZH document, article by article, with a severity rating for each material provision. I have used three categories:

CRITICAL	Must be rejected or rebuilt from scratch. Proceeding with this provision as written exposes you to unacceptable risk.
SIGNIFICANT	Needs material changes. The concept may be salvageable but the current language is not.
ACCEPTABLE	Standard or reasonable. Can proceed with minor adjustments or as-is.

4.1 Roadmap — Procedural Roadmap (Articles 1–4)

[Roadmap.pdf, pages 1–2]

Provision	What It Says	Rating	My Assessment
Art. 1.1	Local Partner must open a cryptocurrency exchange account and acquire stablecoins.	**CRITICAL**	Full analysis in Section 5 below. In short: no legitimate reason for this in a CMHC-backed deal. Reject.
Art. 1.2	Transfer stablecoins to a cold wallet designated by ÖZH.	**CRITICAL**	This moves your money into a wallet they designate. You lose direct control. Unacceptable.
Arts. 2–3	Notification and verification procedures: ÖZH monitors HASH codes, wallet balances, exchange account status.	**SIGNIFICANT**	Invasive financial monitoring. These provisions are dependent on the crypto requirement — if Art. 1 goes, these go with it.
Art. 4	JV execution stage — formal signing and implementation.	**ACCEPTABLE**	Procedural. No concerns.
Important Notes	90-day hold on stablecoin deposit. ÖZH retains unilateral termination right during this period.	**CRITICAL**	Your money is locked for 90 days while they can walk away at any time, for any reason. That is not how a serious partner behaves.

4.2 Roadmap — Confidentiality Agreement (Articles 1–11)

[Roadmap.pdf, pages 3–6]

Provision	What It Says	Rating	My Assessment
Arts. 1, 3	Party identification and definitions.	**ACCEPTABLE**	Standard template language.
Art. 2	Scope of confidential information: 11 defined categories.	**SIGNIFICANT**	Broad scope. The real issue is whether these obligations run both ways. As drafted, they appear to bind the Local Partner only. Must be made mutual.
Art. 4	Six specific prohibitions on use and disclosure.	**SIGNIFICANT**	Same concern — obligations must be reciprocal. ÖZH's information should be protected to the same standard.
Art. 5	Non-compete clause: 10 years, 193 countries. Prohibits the Local Partner from any competing venture globally for a decade.	**CRITICAL**	This is extraordinary. A 10-year blanket across every country on earth would effectively prohibit you from doing real estate development anywhere, with anyone, for the duration. Likely unenforceable in Canadian courts under

			the common-law reasonableness test, but signing it creates litigation exposure and gives ÖZH a weapon. Must be either removed entirely or narrowed to the specific project, the NCR geography, and the term of the JV plus two years at most.
Art. 6	Breach consequences and enforcement.	**SIGNIFICANT**	Review remedies for proportionality. Ensure mutual.
Arts. 7–9	Exceptions (3 carve-outs), material return, notification methods.	**ACCEPTABLE**	Standard provisions. Ensure material return is mutual.
Art. 10	All disputes to be resolved by the High Court of Justice in London under LCIA (London Court of International Arbitration) rules.	**CRITICAL**	The project is in Gatineau. The entity is incorporated in Canada. Requiring London arbitration adds massive cost and removes every home-court advantage. Your counter-position: Superior Court of Quebec, or at minimum, Canadian arbitration under ADRIC rules.
Art. 11	No expiry. Confidentiality obligations continue indefinitely.	**SIGNIFICANT**	Perpetual confidentiality is unusual for a joint venture. Standard practice is 3–5 years after the relationship ends. I would propose a 5-year post-termination sunset.

4.3 Roadmap — Joint Venture Investment Agreement (Articles 1–15)

[Roadmap.pdf, pages 6–9]

Provision	What It Says	Rating	My Assessment
Arts. 1–3	Parties, definitions, and 6 annexes (A–F) requiring 27 sub-documents total.	**SIGNIFICANT**	Twenty-seven annexes is a heavy lift for a residential JV. Many of these may have been designed for ÖZH's infrastructure or energy projects and may not apply here. Each annex should be reviewed for relevance before you commit to producing them.
Art. 4	Board composition of the Joint Company.	**SIGNIFICANT**	In a 50/50 venture, you need equal board seats and mutual veto on material decisions — new debt, asset sales, contracts above a threshold, distributions. The document does not specify this. It needs to.
Art. 5	Consultancy fee of 1% to unnamed consultant(s).	**CRITICAL**	On a $140M project, 1% is $1.4 million. The recipient is not identified. See Section 6 for full analysis.
Arts. 6–7	Party obligations and liability.	**SIGNIFICANT**	Must ensure obligations and liability are balanced and proportional to the 50/50 structure.
Arts. 8–10	Notices, withdrawal/termination, confidentiality.	**ACCEPTABLE**	Standard. Termination mechanics need review for buyout pricing and exit triggers.
Art. 11	Governing law.	**CRITICAL**	Must specify Canadian law. Cannot have the confidentiality agreement under London jurisdiction and the JV agreement under a different system. One governing law, one jurisdiction, and it should be Canadian.
Art. 12	Profit sharing: 50/50.	**ACCEPTABLE**	Consistent with your objective.
Arts. 13–15	Language, execution, signatures.	**ACCEPTABLE**	Administrative. No issues.

4.4 Proposal 1 — Project Investment Partnership (PIP)

[04092026_PROPOSAL -1.pdf, 5 pages. Ref: OZHIPRIVATE/07042026-01/03. Valid 10 days from April 7, 2026.]

This is the most complex of the three proposals, and the one that requires the most attention. Despite the name — "Project Investment Partnership" — this is not a partnership. It is a **loan**. ÖZH advances €20M, charges 6.75% interest, demands repayment through the Joint Company, and secures itself with a pledge on your shares. A partner shares risk. A lender does not.

Provision	What It Says	Rating	My Assessment
Secs. 1–4	Procedural phases: pre-proposal, negotiation, acceptance, implementation. Funding within 90 business days.	**ACCEPTABLE**	Standard process steps.
Sec. 5.1	All repayments made exclusively through the Joint Company Account.	**SIGNIFICANT**	This confirms the structure is debt, not equity. An equity partner takes a share of profit; a lender demands repayment of principal plus interest regardless of project performance.
Sec. 5.2.1	No bank guarantees, collateral, or mortgages from Local Partner.	**ACCEPTABLE**	Positive — no traditional collateral demand.
Sec. 5.2.2	Conditional hypothecation: a share pledge over the Local Partner's company shares, corresponding to 50% of total repayment.	**CRITICAL**	They say no collateral in 5.2.1, then take a lien on your equity in 5.2.2. If the project underperforms and repayment stalls, ÖZH can enforce this pledge and acquire your shares. It is equity stripping dressed up as security.
Sec. 5.3.1	2% of investment in stablecoin form, held in cold wallet. On €20M = ~$585,000 CAD. For "regulatory, administrative, banking fees, risk insurance, and investment-related expenses."	**CRITICAL**	See Section 5 below. There is no reason operational expenses on a Canadian construction project need to be held in cryptocurrency.
Sec. 5.4.1	Local Partner grants powers of attorney to individuals designated by ÖZH for company establishment and bank account opening.	**CRITICAL**	Handing POA to ÖZH's people for bank accounts and corporate actions gives them effective control over the entity's finances. In a 50/50 arrangement, all authorizations should be joint.
Sec. 5.4.2	ÖZH oversees all PIP company establishment.	**CRITICAL**	The corporate entity already exists. Under your preferred structure, no new company is needed. This provision assumes ÖZH controls the corporate architecture — that is not what you signed up for.
Sec. 5.5	Dividends subject to mutual agreement and operational capacity.	**ACCEPTABLE**	Reasonable.
Sec. II (Repayment)	Three models, all in EUR. 5-year: total repay €1.12M per €1M. 10-year: €1.46M. 15-year: €1.93M. On €20M over 15 years: €29.24M total repayment.	**CRITICAL**	Two problems. First, 6.75% is nearly double what you would pay under CMHC. Over 15 years on €20M, you repay €29.24M — a 46% premium. Second, the debt is denominated in EUR while your revenues are in CAD. Every EUR/CAD fluctuation hits your debt service. CMHC financing eliminates both problems.

4.5 Proposal 2 — EPC: Engineering, Procurement and Construction (Turnkey Contractor)

[04092026_PROPOSAL -2.pdf, 2 pages. Ref: OZH/PRIVATE/07042026-02/03.]

The simplest of the three. ÖZH offers to build the project as a turnkey contractor. No investment, no partnership, no equity. This does not address what you are looking for, but it is worth understanding in case elements of it factor into a blended counter-proposal.

Provision	What It Says	Rating	My Assessment
Art. 1	10–30% advance payment. ÖZH provides an advance guarantee letter.	**SIGNIFICANT**	Even at 10%, that is $13.1M upfront on a $131M project. The guarantee letter helps, but the capital requirement is steep.
Art. 2	Monthly progress payments on acceptance basis.	**ACCEPTABLE**	Standard for EPC. Consistent with the Turner & Townsend model you already use.
Art. 3	Turnkey delivery in 30 months.	**ACCEPTABLE**	Reasonable for a 25-story, 305-unit tower.
Art. 4	ÖZH as main contractor: planning, budgeting, EPC delivery, project management, QA, 2-year warranty + 2-year supervision.	**SIGNIFICANT**	This gives ÖZH complete control of construction. You have told me you intend to use BBL, Pomerleau, or a comparable Canadian firm. If ÖZH is the contractor, your established relationships are sidelined.

4.6 Proposal 3A — EPC + Financing (Engineering, Procurement, Construction plus Financing)

[04092026_PROPOSAL - 3A.pdf, 4 pages. Ref: OZH/PRIVATE/07042026-03A/03.]

This one needs to be read carefully because it contains the clearest statement of ÖZH's actual position: **Article 2 states that ÖZH will not be an equity partner.** They build, they finance, they control disbursements — and you carry the equity risk.

Provision	What It Says	Rating	My Assessment
Art. 1	You must demonstrate 20–40% equity. 20% if the project amortizes within 7 years (audit required). 40% if amortization exceeds 15 years. All equity must pass verification by ÖZH's banks.	**CRITICAL**	40% of $140M = $56M. Even 20% = $28M, which is more than your planned $20M contribution. And ÖZH's banks get to decide whether your equity qualifies. That gives them a unilateral gate on whether the deal moves forward.
Art. 2	ÖZH "will not be involved as an equity partner." Retains "full control and authority over project financing use and certified progress payments."	**CRITICAL**	This is the key sentence in the entire package. They are telling you plainly that they are not a partner. They are a financier who controls the money while you bear the risk. The exact opposite of what you want.
Arts. 3–5	Turnkey delivery, monthly progress payments, ÖZH as main contractor with full planning/construction/QA role. 2-year warranty + supervision. Full infrastructure scope.	**SIGNIFICANT**	Same contractor-control issue as Proposal 2. And same conflict with your intent to use your own builders.

5. The Stablecoin Requirement

[Sources: Roadmap.pdf, Articles 1.1–1.2 and Important Notes; Proposal 1 (PIP), Section 5.3.1]

Two documents require you to acquire and hold cryptocurrency. The Roadmap requires you to open an exchange account, buy stablecoins, and transfer them to a cold wallet. Proposal 1 quantifies the amount: 2% of the investment, which on €20M comes to approximately $585,000 CAD.

I want to be direct about this: in my assessment, there is no legitimate reason for a stablecoin requirement in a Canadian residential construction project backed by CMHC financing. Let me explain why.

Canadian Regulatory Exposure

The Canadian Securities Administrators treat stablecoins as securities or derivatives in most commercial contexts. A $585,000 stablecoin purchase as a condition of a business transaction may trigger registration and reporting requirements. FINTRAC — the federal financial intelligence unit — requires mandatory reporting of all virtual currency transactions. And from a tax perspective, CRA treats crypto as a commodity: acquiring, holding, and disposing of it creates taxable events that add cost and complexity for no apparent benefit.

Practical Problems

The stated purpose of the deposit is “regulatory, administrative, banking fees, risk insurance, and investment-related expenses.” These are normal operational costs that every Canadian developer pays in Canadian dollars through standard banking channels. The question is straightforward: why would these expenses need to be held in stablecoin form? The ÖZH documents do not answer that question.

What makes it worse is the 90-day hold period combined with ÖZH’s unilateral termination right. You lock up $585,000 in crypto, and they reserve the right to walk away at any time during those 90 days. That is a one-sided arrangement.

CMHC Implications

CMHC-backed loans require full transparency on all sources and uses of funds. Introducing a cryptocurrency component into the capital structure would, at minimum, require disclosure and explanation — and could complicate or delay approval for a loan you are otherwise well-positioned to receive.

Recommendation

Reject the stablecoin requirement entirely. If ÖZH wants a good-faith deposit or escrow for transaction expenses, it should be held in Canadian dollars in a Canadian trust account with joint signatory authority. That is how it works here.

6. The 1% Consultant Fee

[Source: Roadmap.pdf, JV Investment Agreement, Article 5]

Article 5 provides for a consultancy fee of 1%, payable to consultant(s) who are not named in the document. On a $140M project, that is **$1.4 million**.

Before this provision can be evaluated, four questions need answers:

First, who receives this fee? The document does not say. It could be Reza Pirzadeh, who introduced the parties. It could be another ÖZH representative. It could be a third party entirely. You need disclosure.

Second, what services justify $1.4M? If this is an introduction fee, it is high. In Canadian commercial real estate, finder's fees typically run 0.25–0.50% on transactions of this size, and they are contingent on closing.

Third, who pays? Is this a JV expense (shared 50/50) or charged solely to you? The document is ambiguous.

Fourth, is this in addition to whatever Reza Pirzadeh expects for making the introduction? If there are multiple intermediary claims, the total cost of facilitation could exceed 2%.

My recommendation: require full disclosure of the recipient and the services being provided. Negotiate the fee down to 0.25–0.50%, make it contingent on a successful closing, and ensure it is treated as a shared JV expense.

7. What You Want vs. What They Offered

[Your preferences: meeting of April 9, 2026. ÖZH proposals: Documents 5–8.]

The table below lays out the gap between what you are looking for and what ÖZH has proposed. This is the core of the negotiation. For reference: **PIP** (Project Investment Partnership) is a structured loan disguised as a partnership; **EPC** (Engineering, Procurement and Construction) is a turnkey contractor arrangement; **EPC+F** (EPC plus Financing) combines the contractor role with ÖZH-arranged project financing.

Dimension	Your Position	ÖZH Position	Gap
Relationship	50/50 equity partner	PIP: Lender EPC: Contractor EPC+F: Financier (Art. 2, Proposal 3A: explicitly not equity)	Fundamental mismatch. No proposal offers equity partnership.
Phase 1	Share sale at $145M valuation	Not addressed in any document.	Your preferred entry point is completely absent.
Financing	CMHC at ~3.55–4.00%	PIP: 6.75% in EUR EPC+F: ÖZH-arranged	CMHC rate is nearly half of ÖZH's. No economic rationale to use their financing.
Construction	Your contractors: BBL, Pomerleau, third candidate. Turnkey. T&T verification.	EPC & EPC+F: ÖZH as main contractor.	You lose contractor selection and competitive bidding.
Governance	Equal board, mutual veto	PIP: POA to ÖZH nominees. EPC+F: ÖZH full control.	Control skewed to ÖZH across all proposals.
Currency	CAD	EUR (EURIBOR-based)	Currency mismatch on a CAD-revenue project.
Jurisdiction	Canadian courts	London (LCIA)	London arbitration for a Gatineau project.
Crypto	No.	2% in stablecoin cold wallet.	Non-starter.

8. Project Strengths

[Sources as noted. These points should feature prominently in any counter-proposal to demonstrate the strength of your negotiating position.]

Proven Performer

Phase 1 is at 97% occupancy with an $86M CMHC loan in good standing. This is the single strongest argument for Phase 2: same market, same team, same lender, proven delivery. [Meeting, April 9]

Room to Run on Rents

Your target rents are roughly $1,000/month below comparable buildings in the immediate area. Two-bedrooms at $2,800 versus $3,500–3,600 across the street. That gap is not a weakness — it is a deliberate competitive moat that accelerates lease-up and gives you escalation upside for years. [Meeting, April 9]

CMHC Advantage

CMHC Select financing runs about 1% below market with extended amortization. Four banks are already competing for the Phase 2 mandate. Given your track record on Phase 1, approval is a reasonable expectation — not a gamble. This makes ÖZH's 6.75% EUR-denominated offer economically irrational. [Meeting, April 9; Feasibility Study; Financial Summary]

Location

National Capital Region, anchored by federal government employment. Structural housing shortage. Limited competing supply nearby. Immediate proximity to shopping, the sports complex, and urban amenities. [Meeting, April 9; Feasibility Study]

Lessons from Phase 1

Phase 2 is designed to avoid the mistakes of Phase 1: minimal commercial space, no excess architectural features that drive up cost without proportional revenue, and a spa that creates tenant retention and revenue diversification. You have learned from what went wrong. That matters to sophisticated investors. [Meeting, April 9]

Land and Fallback Position

The $15M land is appraised and clear. Two deals in advanced negotiation could eliminate your mortgage entirely, at which point you may not need external equity at all. That is leverage. ÖZH should understand that you are negotiating from choice, not necessity. [Meeting, April 9]

9. Risk Assessment

Every risk below is tied to a specific document and provision. I have separated them into two tiers.

9.1 Critical Risks

These must be resolved before any agreement is signed.

#	Risk	Document & Provision	Why It Matters
C1	**Stablecoin deposit**	Roadmap Arts. 1.1–1.2 Proposal 1, Sec. 5.3.1 Roadmap Important Notes	~$585K in crypto. AML/FINTRAC reporting obligations. CRA tax events. CMHC complications. 90-day lock while ÖZH retains walk-away right.
C2	**Share pledge**	Proposal 1, Sec. 5.2.2	Pledge on your shares = 50% of repayment amount. If the project stumbles, ÖZH can enforce and acquire your equity at distressed pricing.
C3	**POA to ÖZH nominees**	Proposal 1, Secs. 5.4.1–5.4.2	Power of attorney over bank accounts and corporate formation to people ÖZH designates. Transfers effective control.
C4	**10-year global non-compete**	Roadmap, Conf. Agreement, Art. 5	193 countries, 10 years. Would prohibit you from developing real estate anywhere on earth for a decade.
C5	**London jurisdiction**	Roadmap, Conf. Agreement, Art. 10 Roadmap, JV Agreement, Art. 11	Disputes resolved in London under English law. Massive cost, zero home-court advantage.
C6	**Not actually equity**	Proposal 1, Sec. 5.1 Proposal 3A, Art. 2	None of the proposals is a genuine equity partnership. ÖZH gets repayment and/or contractor fees while you carry market, construction, and currency risk.
C7	**EUR currency exposure**	Proposal 1, Sec. II	EUR-denominated debt on a CAD-revenue project. Every exchange rate fluctuation hits your bottom line.
C8	**Unnamed $1.4M fee**	Roadmap, JV Agreement, Art. 5	1% of project cost to unidentified parties for unspecified services. Requires full disclosure.

9.2 Significant Risks

These require negotiation but are not necessarily deal-breakers.

#	Risk	Document & Provision	Concern
S1	**Perpetual confidentiality**	Roadmap, Conf. Agreement, Art. 11	No expiry date. Standard is 3–5 years after the venture ends.
S2	**One-sided obligations**	Roadmap, Conf. Agreement, Arts. 2, 4	Confidentiality obligations appear to bind you but not ÖZH. Must be reciprocal.
S3	**Construction control**	Proposal 2, Art. 4 Proposal 3A, Art. 4	Both EPC proposals give ÖZH full construction authority. Conflicts with your contractor relationships.
S4	**Advance payment**	Proposal 2, Art. 1	10–30% upfront = $13.1M–$39.3M. Capital-intensive.
S5	**ÖZH controls equity verification**	Proposal 3A, Art. 1	ÖZH's banks decide whether your equity qualifies. Gives them a unilateral gate.
S6	**27 required sub-documents**	Roadmap, JV Agreement, Arts. 1–3	Heavy documentation burden. Many annexes may not apply to a Canadian residential project.
S7	**Ownership discrepancy**	Application Form, Sec. 2.5 vs. DD Form, Sec. 2.5	Main form says 50/50 ownership. Due diligence form says 25/25. This should be corrected before resubmission.

10. Preliminary Background — Öztürk Holding

I have conducted a preliminary background review based on publicly available information. This is not a substitute for formal due diligence through legal counsel, and I agree with your suggestion that Global Affairs Canada's Turkish desk would be a valuable resource.

What I Found

ÖZH presents itself as an $11 billion conglomerate. The signatory on all three proposals is **Tannaz Nazif**, identified as Deputy General Manager. The founding chairman is **Yusuf Öztürk**. A related entity called **Dutinvest International Group** appears connected to the corporate structure. The company lists divisions in construction & energy, foreign trade, and financial services.

For a purported $11B entity, the English-language public footprint is surprisingly thin. I did not find major international press coverage, institutional investor references, or third-party credit ratings. Comparable conglomerates at that scale typically have a substantial public record. That is not an accusation — it is an observation that warrants investigation.

I found no specific fraud allegations, sanctions listings, or criminal proceedings. But the absence of negative findings is not the same as a clean bill of health.

Pierre MacMartin's Opinion

You mentioned that Pierre MacMartin has provided a legal opinion confirming that a Turkish entity participating in a Canadian real estate venture is not legally problematic, and that CMHC would not object provided the Canadian corporation maintains at least 50% Canadian ownership. That is helpful context. [Meeting, April 9]

Recommended Next Steps

Request audited financial statements from ÖZH. A $20M commitment should come with verified financials. Engage Global Affairs Canada, Turkish desk, to confirm corporate standing. Run sanctions screening against OFAC, Canadian, and EU lists. Verify that Tannaz Nazif has the authority to bind ÖZH. And ask for references from completed projects of comparable scale.

11. Recommended Counter-Position

Based on everything in this assessment, here is how I would frame the response to ÖZH. This is organized as accept, reject, modify, and propose.

11.1 Accept

The 50/50 profit-sharing structure (Roadmap, JV Agreement, Art. 12) aligns with your objective. The concept of mutual confidentiality is standard and appropriate — though the specific terms need work. The procedural framework (Proposal 1, Sections 1–3) is reasonable. And the warranty and supervision commitments (Proposals 2 and 3A) are fair if ÖZH has any construction role.

11.2 Reject

All cryptocurrency and stablecoin provisions. The 10-year global non-compete. London jurisdiction and LCIA arbitration. Power of attorney to ÖZH-designated individuals. The share pledge. EUR-denominated financing. These are not negotiating positions — they are deal conditions that are fundamentally incompatible with a Canadian residential development financed by CMHC.

11.3 Modify

Confidentiality obligations must be mutual and expire 5 years after termination. The consultant fee must be disclosed, reduced to 0.25–0.50%, made contingent on closing, and shared as a JV expense. Governance must provide equal board representation with mutual veto rights. The documentation burden should be reduced to what is actually required for a Canadian residential JV. And if ÖZH has any construction involvement, you retain contractor selection with competitive bidding among your established relationships.

11.4 Your Counter-Proposal

The structure you should put on the table:

Phase 1 share sale: ÖZH purchases 50% of the shares in 9266569 Canada Inc. at a valuation of $145M. Share transfer — not asset sale — which preserves the corporate structure, all existing contracts, the CMHC relationship, and minimizes tax and legal costs.

Phase 2 co-development: Partners contribute equity on agreed terms ($15M land + $5M cash from you; equivalent contribution from ÖZH). CMHC-backed debt at approximately 4% for the balance. Canadian contractors selected through competitive bidding managed by the JV board.

Canadian governance: All agreements under Ontario or Quebec law. All disputes resolved in Canadian courts or through Canadian arbitration. Equal board representation. Standard Canadian JV agreement drafted by your counsel.

No cryptocurrency. All transactions in Canadian dollars through Canadian banking channels.

This preliminary assessment is based on a first review of the documents provided and an in-person meeting on April 9, 2026. It does not constitute legal advice. I recommend formal legal review by qualified counsel before any counter-proposal is submitted or any agreement is signed.

Joseph Soares, MBA, PMP, Adm.A.

IBPROM Corp

April 9, 2026

CLAUSE-BY-CLAUSE RATIONALE

Response to Ozturk Holding Joint Venture Proposals

Prepared by IBPROM Corp for Dr. Nader Agharazi-Dormani

April 9, 2026 — PRIVILEGED AND CONFIDENTIAL

Purpose of This Document

This document accompanies the draft response letter to Ozturk Holding and provides the legal, regulatory, and commercial rationale behind each position

taken. Every objection raised in the letter is grounded in Canadian statute, case law, or established commercial practice. The purpose is to ensure that Dr. Dormani has full visibility into the reasoning behind each recommendation before any communication is sent.

This document is privileged. It should not be shared with Ozturk Holding or any third party.

1. Stablecoin, Cryptocurrency, and Advance Fee Payment

Letter Reference: "What Must Change" — first item in the response letter

Provisions at Issue: Roadmap, Articles 1.1–1.2; Proposal 1, Section 5.3.1

Legal and Regulatory Basis

- *Proceeds of Crime (Money Laundering) and Terrorist Financing Act* (PCMLTFA), S.C. 2000, c. 17 — Canada's primary anti-money laundering statute. All money services businesses and financial intermediaries dealing in virtual currency are subject to registration, reporting, and record-keeping obligations under FINTRAC. A real estate joint venture conducting transactions in stablecoin would trigger these requirements and invite regulatory scrutiny that no institutional lender would tolerate.

- *CMHC Lending Conditions* — CMHC-insured and CMHC Select financing requires that all capital flows be traceable through regulated Canadian financial institutions. Cryptocurrency transactions are incompatible with CMHC underwriting standards. Any structure involving crypto deposits would disqualify the project from CMHC financing, which is the most advantageous debt instrument available for this development.

- *Criminal Code of Canada, s. 380 (Fraud)* — While we are not alleging fraud, it must be noted that advance fee schemes — where a party is required to pay money before receiving any service, value, or consideration — are a recognized pattern in Canadian fraud jurisprudence. The requirement to pay a fee in advance to a prospective partner, before any work has been performed or any contractual obligation has been fulfilled, is not consistent with standard commercial practice in Canada and would raise immediate red flags with any Canadian legal or financial advisor.

- *Canadian Securities Administrators (CSA) Staff Notice 21-327* — Guidance on crypto asset trading platforms confirms that stablecoins are treated as

securities or derivatives in many contexts under Canadian law, adding further regulatory complexity.

Reasoning

The proposal requires deposits or fee payments in stablecoin. In a Canadian context, this creates three separate problems. First, FINTRAC compliance obligations would add cost, delay, and regulatory exposure that serves no commercial purpose. Second, CMHC would not finance a project with cryptocurrency in its capital structure. Third, the advance fee requirement — separate from the currency question — has no commercial justification. In legitimate joint ventures, fees are earned against milestones or paid at closing, not demanded in advance of any work.

The combination of these two elements — cryptocurrency and advance fees — appearing together in the same proposal is worth noting. Each is problematic on its own. Together, they represent a structural concern that must be addressed directly and resolved completely before any further negotiation.

Recommended Position

All financial transactions in Canadian dollars through regulated Canadian banking channels. No cryptocurrency of any kind. No advance fee payments. Any consulting, advisory, or intermediary fees must be tied to defined services, payable at or after closing, and disclosed in full.

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2. Non-Compete Clause

Letter Reference: "What Must Change" — second item in the response letter

Provisions at Issue: Confidentiality Agreement, Article 5

Legal and Regulatory Basis

- *Shafron v. KRG Insurance Brokers*, 2009 SCC 6 — The Supreme Court of Canada held that restrictive covenants must be reasonable in scope, geography, and duration. A non-compete that is ambiguous or overbroad is void and unenforceable. The Court refused to "read down" an unreasonable clause to make it enforceable — the drafter bears the risk of overreach.

- *Payette v. Guay inc.*, 2013 SCC 45 — Confirmed that non-competition clauses in commercial contracts (as opposed to employment) are assessed for reasonableness, though with somewhat more flexibility than in the employment context. The clause must still protect a legitimate business interest and be proportionate.

- *Quebec Civil Code, art. 2089* — Applicable because the project is located in Quebec. Non-competition clauses must be limited in time, place, and the type of activity restricted. Courts may reduce excessive clauses but prefer to void them entirely when the overreach is egregious.

Reasoning

The proposed clause restricts Dr. Dormani and his entities from competing in any related business, anywhere in the world, for ten years. This is not a non-compete — it is a global restraint of trade. It would prevent Dr. Dormani from developing real estate in Canada, in Portugal, in any market, for a decade. No Canadian court would enforce it.

Beyond enforceability, the drafting itself is revealing. A serious international partner with experienced legal counsel would know that a 10-year, 193-country

non-compete is unenforceable in virtually every common law and civil law jurisdiction. The fact that it was included suggests either unfamiliarity with Canadian law or an intention to use the clause as leverage rather than as a binding restriction.

The recommended alternative — project-specific, NCR geography, JV duration plus two years — is the standard structure in Canadian real estate joint ventures. It protects the legitimate interest (preventing a partner from competing with the specific project) without overreaching.

Recommended Position

Non-compete limited to the La Cite Gatineau project, within the National Capital Region, for the duration of the joint venture plus two years. This is enforceable, proportionate, and consistent with Canadian commercial practice.

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3. Jurisdiction and Governing Law

Letter Reference: "What Must Change" — third item in the response letter

Provisions at Issue: Confidentiality Agreement, Article 10; JV Agreement, Article 11

Legal and Regulatory Basis

- *Z.I. Pompey Industrie v. ECU-Line N.V.*, 2003 SCC 27 — The Supreme Court confirmed that forum selection clauses are enforceable but must reflect a real and substantial connection to the chosen jurisdiction. Where the subject matter of the contract (here, real property in Quebec) is located entirely in Canada, Canadian courts have a strong presumptive claim to jurisdiction.

- *Quebec Civil Code, arts. 3148–3149* — Quebec courts have jurisdiction where the dispute relates to an obligation to be performed in Quebec, or where property at issue is located in Quebec. An immovable property in Gatineau falls squarely within Quebec's exclusive jurisdictional reach under art. 3152.

- *ADRIC (ADR Institute of Canada) Arbitration Rules* — The proposed alternative references ADRIC as the arbitration body, which is the standard Canadian institutional arbitration framework for commercial disputes. This provides a neutral, recognized mechanism without ceding jurisdiction to a foreign body.

Reasoning

The OZH proposals do not specify a governing law or dispute resolution forum clearly, which in itself is a problem — ambiguity on jurisdiction in a cross-border deal is an invitation to costly litigation over where litigation should take place.

The property is in Gatineau, Quebec. The corporate entity is incorporated in Canada. The tenants are Canadian. The financing is Canadian. There is no legitimate basis for any jurisdiction other than Canada to govern this transaction. Agreeing to arbitration or litigation in a foreign jurisdiction would expose Dr. Dormani to enforcement risk, procedural disadvantage, and the possibility of judgments that are difficult or impossible to execute against Canadian assets.

This is stated as non-negotiable in the letter because it is. No competent Canadian legal counsel would advise a client to submit a dispute over Quebec real property to a foreign tribunal.

Recommended Position

All agreements governed by the laws of the Province of Quebec — the jurisdiction where the investment is located. All disputes resolved in Quebec courts or through ADRIC arbitration seated in Quebec. No foreign jurisdiction clauses.

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4. Share Pledge and Power of Attorney

Letter Reference: "What Must Change" — fourth item in the response letter

Provisions at Issue: Proposal 1, Sections 5.2.2, 5.4.1–5.4.2

Legal and Regulatory Basis

- *Canada Business Corporations Act (CBCA), s. 122* — Directors and officers owe fiduciary duties to act honestly, in good faith, and in the best interests of the corporation. Granting an irrevocable power of attorney over corporate bank accounts and formation decisions to a foreign partner's designees would be a potential breach of fiduciary duty by the directors who authorized it.

- *Peoples Department Stores Inc. (Trustee of) v. Wise*, 2004 SCC 68 — The Supreme Court clarified the scope of directors' fiduciary duties, including the duty to consider the interests of creditors, employees, and other stakeholders. Surrendering corporate control through a power of attorney would be difficult to reconcile with these obligations.

- *Quebec Civil Code, arts. 2166–2174 (Mandate)* — A mandate (power of attorney) in Quebec is revocable by the mandator unless given in the interest of the mandatary or a third person, and even then, courts can intervene. However, the structural problem here is not revocability — it is that granting such a mandate would create a de facto transfer of control without the protections of a formal acquisition.

Reasoning

The proposal asks Dr. Dormani to pledge his equity in 9266569 Canada Inc. as security for what OZH characterizes as an investment but structures as a loan. It then asks him to grant power of attorney to OZH-designated individuals over the corporation's bank accounts and over the formation of new corporate entities related to the project.

Taken together, these provisions would give OZH effective control of the project without acquiring any ownership. Dr. Dormani would retain the title of President but would have signed away the ability to manage the company's finances or corporate structure. If the loan terms were not met — on OZH's timeline and terms — the share pledge would allow OZH to seize the equity.

This is not a partnership structure. It is a control mechanism dressed up as a joint venture. No Canadian advisor would recommend that a client sign these provisions, and no Canadian court would look favourably on a structure designed to extract control without paying for it.

Recommended Position

Complete removal of all share pledge provisions and all power of attorney clauses. If OZH wants equity participation, the path is a share acquisition at fair market value, not a loan structure with security that transfers control.

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5. EUR-Denominated Financing

Letter Reference: "What Must Change" — fifth item in the response letter

Provisions at Issue: Proposal 1, Section II

Legal and Regulatory Basis

- *CMHC Select Program* — CMHC Select offers mortgage loan insurance for multi-unit residential properties with rates approximately 1% below conventional market rates and amortization periods of 45–50 years. La Cite Phase I already operates under a CMHC loan. Phase II qualifies for the same program. This is the most favourable financing instrument available for this project.

- *Currency exposure — commercial risk* — All project revenue (rental income) is denominated in Canadian dollars. Servicing debt in euros would create an unhedged foreign exchange exposure. Over a 25–45 year loan term, CAD/EUR fluctuations could add tens of millions in cost or savings — an uncontrollable variable that no prudent developer would accept when a superior Canadian-dollar alternative exists.

Reasoning

There is no commercial reason to finance a Canadian residential project in euros. The only scenario in which EUR-denominated debt makes sense is if the lender wants the borrower exposed to currency risk — either as additional leverage or as a revenue stream from exchange rate differentials.

CMHC Select financing is available, proven (Phase I already uses CMHC), and offers better terms than anything OZH has proposed. The interest rate is lower, the amortization is longer, and the currency matches the revenue. There is no version of this negotiation in which EUR debt is preferable to CMHC financing in Canadian dollars.

Recommended Position

All project financing in Canadian dollars. CMHC Select as the primary debt instrument for Phase II. No foreign-currency obligations.

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6. Consultant Fee

Letter Reference: "What Must Change" — sixth item in the response letter

Provisions at Issue: JV Agreement, Article 5

Legal and Regulatory Basis

- *Fiduciary obligations in joint ventures* — Partners in a joint venture owe each other duties of good faith and full disclosure. An undisclosed fee payable to unnamed third parties is a breach of these obligations. See *Pre-Cam Exploration & Development Ltd. v. McTavish*, [1966] SCR 551, where the Supreme Court held that a joint venturer who fails to disclose a material interest commits a breach of fiduciary duty.

- *Income Tax Act (Canada), s. 67* — Business expenses must be "reasonable in the circumstances" to be deductible. A 1% fee on a $131 million project ($1.31 million) payable to unnamed consultants for unspecified services would face serious challenge on audit. CRA would require documentation of who was paid, what they did, and why the amount was reasonable.

Reasoning

The JV Agreement includes a 1% fee payable to unnamed consultants. No services are described. No recipients are identified. On a $131 million construction budget, this is approximately $1.31 million directed to parties whose identity and role are not disclosed to the Canadian partner.

This is not acceptable in any Canadian commercial transaction. Joint venture partners are entitled to know where every dollar goes. If there are legitimate consulting services being provided — legal, financial, advisory — those services should be named, the providers identified, and the fees justified against market rates. If the fee is a commission or finder's fee, it should be disclosed as such.

The letter takes a firm but open position: disclose everything, reduce the amount, tie it to closing, and share it as a joint venture expense. If OZH cannot

or will not explain who gets this money and why, that tells us something important.

Recommended Position

Full disclosure of recipients, services, and fee basis. Reduction from 1% to a market-rate amount. Payment contingent on closing. Treated as a shared JV expense, not a unilateral charge.

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7. Rationale for the Counter-Proposal Structure

Phase I Share Acquisition

Phase I was not part of the original application to OZH. As we reviewed their proposals internally, it became clear that the physical connection between the two buildings makes Phase I a relevant consideration that strengthens the negotiating position and the opportunity for both parties.

Phase I is a 205-unit, 19-floor tower, 97% occupied, with an $86 million CMHC loan in good standing. It produces stable, predictable cash flow. The two phases were designed with underground tunnel connections — vehicle and pedestrian access between the buildings, allowing residents to move between them without going outside during Canadian winters. That physical link means any partner in Phase II has a practical relationship with Phase I whether it is formalized or not. Formalizing it through a share acquisition turns this from a complication into an advantage for both sides.

Phase II, by contrast, is a construction project with all the associated risk. Any serious investor would rather have a stake in the performing asset alongside the development opportunity than the construction bet alone.

By offering OZH the ability to acquire 50% of Phase I at a $145 million valuation, Dr. Dormani accomplishes several things at once. He gives OZH immediate cash flow from a proven asset. He creates a shared interest in the success of Phase II, since the two buildings are physically connected. He establishes a governance precedent before the construction phase begins. And he sets the terms: this is a share transfer at a valuation he controls, not a distressed negotiation driven by OZH's proposed loan structure.

The $145 million valuation is based on the property's current income, the CMHC loan balance, and comparable transactions in the NCR market. It is a starting point for negotiation, not a ceiling.

Tax Advantages of a Share Transfer vs. Asset Sale

The share transfer structure is not just operationally cleaner — it saves both parties tens of millions of dollars in transaction costs that would be unavoidable in a direct property sale. The property itself never changes hands. It is the ownership of the corporation that is transferred. This distinction has major tax consequences under Canadian law.

Quebec Municipal Transfer Tax (Droits de Mutation)

Under Quebec's Act Respecting Duties on Transfers of Immovables (R.S.Q., c. D-15.1), any transfer of an immovable triggers municipal transfer tax (commonly called the "taxe de bienvenue"). The progressive rate structure reaches 3% on amounts exceeding $500,000. On a property valued at $145 million, the transfer tax alone would exceed $4 million. A share transfer does not trigger this tax because the immovable does not change hands — the corporation that owns the property remains the same legal entity. Only the shareholders change.

GST and QST on Sale of Real Property

A direct sale of real property in Quebec triggers the Goods and Services Tax (5%) and Quebec Sales Tax (9.975%) — a combined rate of approximately 14.975%. On a $145 million transaction, this represents approximately $21.7 million in potential sales tax liability. While input tax credits and exemptions may reduce this figure depending on the buyer's status and use of the property, the exposure is substantial. A share transfer avoids this entirely. The sale of shares of a corporation is an exempt financial supply under the Excise Tax Act (Canada), s. 123(1), and is not subject to GST or QST.

CMHC Mortgage Preservation

The existing $86 million CMHC loan on Phase I is in good standing. In an asset sale, this mortgage would need to be discharged, potentially triggering prepayment penalties, and the buyer would need to arrange new financing — at current rates, with new underwriting, and without the benefit of the existing CMHC relationship. In a share transfer, the mortgage stays in place. The

corporation continues as borrower. CMHC's relationship with the project is uninterrupted. This preserves a financing instrument that carries terms no new borrower could replicate today.

Contracts and Tenant Agreements

All tenant leases, service contracts, insurance policies, and vendor agreements are with the corporation, not with Dr. Dormani personally. A share transfer leaves every contract undisturbed. An asset sale would require assignment or renegotiation of each contract — a process that could take months, create uncertainty for tenants, and trigger termination clauses in agreements that contain change-of-control or assignment restrictions.

Summary of Estimated Savings

Municipal transfer tax avoided: $4M+. GST/QST avoided: up to $21.7M. Mortgage prepayment and refinancing costs avoided: several million (depending on penalty terms and current rates). Legal and administrative costs of contract reassignment avoided: significant but variable. Total estimated savings from share transfer vs. asset sale: $25–30 million in direct transaction costs. This is not a marginal advantage. It is the difference between a viable deal and a punitive one.

CMHC Select for Phase II

CMHC Select is the optimal financing instrument for Phase II. It offers rates approximately 1% below conventional market, amortization periods of 45–50 years, and an established relationship with the borrower (Phase I is already CMHC-financed). There is no scenario in which OZH's proposed EUR-denominated financing is more advantageous than CMHC Select.

By insisting on CMHC, the letter removes foreign currency risk, eliminates dependency on OZH for financing, and anchors the project within the Canadian institutional framework. It also signals to OZH that Dr. Dormani does not need their money for the construction — he needs a partner, not a lender.

Canadian Governance

Equal board representation with mutual veto rights is standard in 50/50 Canadian joint ventures. The insistence on Canadian legal counsel drafting the JV agreement is deliberate — it ensures the agreement conforms to Canadian corporate law, Canadian fiduciary standards, and Canadian regulatory requirements from the outset, rather than requiring extensive amendment to a foreign-drafted document.

CAD Only

Restated as a standalone principle to leave no ambiguity. No cryptocurrency. No euros. No instruments denominated in anything other than Canadian dollars. This is both a regulatory requirement and a commercial one.

Conclusion

The positions taken in the response letter are not aggressive. They are the minimum standard that any competent Canadian advisor would insist upon. The proposals as submitted by OZH contain provisions that no Canadian court would enforce, that no Canadian institutional lender would accept, and that no experienced Canadian business person would sign.

The counter-proposal is designed to shift the conversation from OZH's framework — which is structured to extract control and impose foreign terms on a Canadian asset — to a framework that reflects how business is actually done in Canada. If OZH is a serious partner, these terms give them a clear and attractive path forward. If they are not, these terms will make that clear quickly.

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This document is prepared for the exclusive use of Dr. Nader Agharazi-Dormani and is privileged and confidential. It does not constitute legal advice. Dr. Dormani is advised to seek independent legal counsel before acting on any recommendation contained herein.